Verified Capacity-Based Governance

> *"Having the right to participate does not necessarily mean having the knowledge, responsibility, or contribution to make every decision. Authority must be earned, verified, and governed."*

1. Beyond Conventional Voting: Rethinking Terminology

Conventional voting models assume equal weight across all participants regardless of domain expertise or resource backing. For Rheo, generic "voting" is replaced by distinct institutional actions to decouple broad participation from unqualified operational control:

Term	Meaning & Definition	Institutional Implication
Flagging	Raising an issue, vulnerability, or concern.	Open participation, but no structural authority.
Endorsement	Formally supporting a proposal or data point.	Positive recommendation and vetting.
Deliberation	Examining, stress-testing, and debating proposals.	Informed consideration by eligible specialists.
Ratification	Formally approving decisions under predefined rules.	Institutional authority and constitutional alignment.
Authorisation	Granting precise permissions to proceed.	Operational control and execution limits.

2. The Five-Stage AI Consensus Pipeline

Participation is broad and open, but authority flows through structured tiers of verification and competence:

1. **Open Participation:** Anyone permitted by the system can flag risks, submit evidence, raise objections, or contribute telemetry data. *(Broad participation)*
2. **Verified Contribution:** Identity, energy capacity, operational performance, and eligible resource allocations are verified on-chain. *(Evidence-based eligibility)*
3. **Qualified Deliberation:** Eligible participants assess proposals according to their specific expertise, responsibilities, and resource commitment. *(Structured assessment)*
4. **Human Ratification:** The Master Governance System applies approval thresholds, oversight mechanisms, and constitutional safeguards. *(Human authority)*
5. **Controlled Execution:** Approved AI projects receive defined permissions, resource caps, and execution boundaries. *(Accountable execution)*

3. Three Fundamentals of Resource Governance

1. Security & Integrity

Open voting mechanisms are vulnerable to manipulation via sybil attacks, fake identities, coordinated accounts, or concentrated financial influence. Verified identities and measurable physical contributions make manipulation computationally and economically prohibitive.

2. Genuine Incentives

Participants should have meaningful influence when they actively contribute to the productive economy. Contributions must be genuine, measurable, and relevant; otherwise, the system rewards passive influence rather than actual value creation.

3. Resource Governance & Boundaries

AI infrastructure consumes immense electricity, compute capacity, capital, and human oversight. Approval structures directly reflect the stakeholders responsible for providing, governing, and bearing the real-world consequences of those resources.

Key Domain Distinction: Energy capacity can establish weighting for energy-dispatch and infrastructure decisions, but it must *not* automatically dictate authority over cybersecurity protocols, legal compliance, or unrelated financial matters.

4. Institutional Summary

Rather than relying on uncalibrated *"Energy-weighted voting,"* Rheo operates entirely under:

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Open participation. Verified contribution. Qualified consensus. Human authorisation.

The core philosophy governing the network is that **participation can be broad without granting everyone equal authority over every decision**. The system remains fully open to contribution, but operational authority is earned, verified, and strictly governed.